



MEMORANDUM

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Rule Amendment |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : 2026 REVISED GUIDELINES FOR MASTER SECURITIES LENDING AGREEMENT CLEARANCE

DATE : May 22, 2026

Please be advised that The Philippine Stock Exchange, Inc.'s ("PSE") 2026 Revised Guidelines for Master Securities Lending Agreement ("MSLA") Clearance ("Revised MSLA Guidelines") have been approved by the Securities and Exchange Commission ("SEC") on May 15, 2026 and shall take effect immediately.

The salient revisions are as follows:

1. *PSE will function as a one-stop shop for MSLA and Accession Agreement pre-clearance and BIR registration.*

The PSE will act as a one-stop shop between the applicant (*i.e.*, Borrowers or Lending Agent) and the Bureau of Internal Revenue ("BIR"). As such, PSE will:

- a. Receive from the applicant all requirements pertaining to their MSLA registration application, including the BIR registration fee;
- b. Coordinate with the BIR on the review of the MSLA and notify the applicant if there are any deficiencies in the submission or items for clarification;
- c. Transmit all pre-cleared MSLAs, documentary requirements and registration fee to the BIR.

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For pre-cleared Accession Agreements to multilateral MSLAs, submission to the BIR will be done on a weekly basis; and

- d. Receive the Certificate of Registration/Tax Exemption issued by the BIR and release it to the applicant (or the Lending Agent, in case of a new Certificate of Registration/Tax Exemption reflecting the names of the additional acceding borrowers).

2. *Removal of SEC's MSLA pre-clearance process.*

The SEC will no longer conduct a pre-clearance review nor issue a Certification for MSLAs and Accession Agreements. The PSE will furnish the SEC with a copy of the pre-cleared MSLA and other documentary requirements upon endorsement and transmittal to the BIR.

The SEC may conduct post-audit review of any BIR-registered MSLA based on SEC's audit calendar and impose sanctions and penalties against any person or entity found to have violated any provision of SEC Memorandum Circular No.7, series of 2006, or the SEC Rules on Securities Borrowing and Lending.

A copy of the Revised MSLA Guidelines is attached herewith as Annex "A".

For your information and guidance.

(original signed)
Ramon S. Monzon
President and CEO

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PSE SECURITIES BORROWING AND LENDING
2026 Revised Guidelines for MSLA Clearance

1. The Applicant shall submit to the PSE Capital Markets Development Division ("PSE-CMDD") the following requirements:

A. For bilateral MSLA (to be submitted by the Borrower)

1. Letter-request addressed to PSE for pre-clearance of the Master Securities Lending Agreement (MSLA);
2. Three (3) original or certified true copies of notarized MSLA;
3. Three (3) original or certified true copies of notarized Addendum to the MSLA;
4. Three (3) original or certified true copies of duly signed MSLA Registration Form (Form MSLA1a);
5. Three (3) original or certified true copies of duly signed Lender's Notification of Execution of MSLA (Form MSLA1b);
6. Photocopies of Lender and Borrower's Articles of Incorporation and By-Laws and BIR Certificate of Registration (BIR Form 2303);
7. PSE fee amounting to Php5,000.00¹; and
8. BIR fee amounting to Php5,000.00².

B. For Global MSLA

1. Letter-request addressed to PSE for pre-clearance of the Global Master Securities Lending Agreement (GMSLA);
2. Three (3) original or certified true copies of the executed GMSLA;
3. Three (3) original or certified true copies of the executed Supplemental Agreement to the GMSLA, if applicable; and
4. Items 4 to 8 of Part 1.A

¹ The Applicant may choose to pay the PSE fee via check or auto-debit arrangement.

² PSE will issue a non-VAT acknowledgement receipt for this amount.

- A foreign party may submit photocopies of its Articles of Incorporation and By-Laws, if applicable, or equivalent document.
- A non-resident foreign party is exempt from submitting a photocopy of BIR Certificate of Registration.

Nothing in these Guidelines shall be construed as constituting final approval by the Commission of the GMSLA framework, pro-forma GMSLA, Supplemental Agreement to the GMSLA or the Philippine Annex, or the corresponding documentary and operational requirements applicable thereto. The Commission may impose additional requirements or modifications upon the formal implementation thereof.

C. For multilateral MSLA (to be submitted by the Lending Agent)

1. Items 1, 2 and 4 to 6 of Part 1.A;
2. PSE fee amounting to Php5,000.00 for every borrower; and
3. BIR fee amounting to Php5,000.00 for every borrower.

D. For Accession Agreement (to be submitted by the Lending Agent)

1. Three (3) original or certified true copies of notarized Accession Agreement;
2. Photocopy of the BIR Certificate of Registration/Tax Exemption of the previously approved multilateral MSLA;
3. Photocopies of acceding Borrower's Articles of Incorporation and By-Laws and BIR Certificate of Registration (BIR Form 2303)

In case there is an amendment to the Lending Agent's Articles of Incorporation, By-Laws or BIR Certificate of Registration which was previously submitted to PSE or BIR under Part 1.C, a photocopy of the amended document must also be submitted;

4. PSE fee amounting to Php5,000.00 for each additional borrower; and
5. BIR fee amounting to Php5,000.00 for each additional borrower.

To expedite the registration process, the Applicant should file the request for pre-clearance immediately upon execution of the MSLA, GMSLA or Supplemental Agreement to the GMSLA, if any, or Multilateral MSLA, whichever is applicable, mindful of the deadline under Section 8(c) of Bureau of Internal Revenue (BIR) Revenue Regulations 1-2008, as amended, which states that the MSLA should be registered with the BIR within two weeks, if the MSLA was executed in the Philippines, and within one month, if executed outside the Philippines.

For Accession Agreements, the Applicant must take into account the weekly submission to BIR as provided in item 5 hereunder.

MSLAs, GMSLAs, GMSLA Supplemental Agreements, Multilateral MSLAs, and Accession Agreements executed by the parties abroad do not need to be consularized or apostilled, provided the parties warrant that the agreement was duly executed in accordance with the legal requirements of the place of execution. MSLAs, GMSLAs, GMSLA Supplemental Agreements, Multilateral MSLAs, and Accession Agreements executed within the Philippines must be notarized.

2. No part of the MSLA (item 1.A.2) and its Addendum (item 1.A.3) should be left blank. The parties and their witnesses should sign both the MSLA and Addendum on the signature page and each and every page thereof, and should have the same notarized.

A. For the MSLA (item 1.A.2)

1. The Borrower must fill up the fields in pages 1 and 20.

B. For the Addendum (item 1.A.3)

1. On Section (e), Margin Rate, pursuant to Securities and Exchange Commission (SEC) Memorandum Circular No. 7, series of 2006, if the collateral is in the form of cash or government securities, then the Margin Rate cannot be less than 102%, and if the collateral is in the form of equity securities, the Margin Rate cannot be less than 105%.
 2. On Section (j), Term of the Agreement, if the parties have not determined a term or expiration date for the MSLA, then the parties may indicate that the MSLA shall be effective until terminated by the parties.
 3. On Section (l), Agent, this field is applicable to foreign corporations who are licensed to do business in the Philippines, and thus required by law to appoint a resident agent who is authorized to receive summons and legal processes. If the field is not applicable to the parties, then they should indicate N/A.
 4. The Addendum must be executed on the date of execution of the MSLA or subsequent thereto.
3. Upon receipt of the letter-request for pre-clearance and supporting documents, PSE shall assign MSLA Reference Number and begin its review of the MSLA, GMSLA or Accession Agreement.
 4. PSE shall conclude its review and pre-clearance within five (5) working days from receipt of the complete documentary requirements and payment from the Applicant.

For Accession Agreements, PSE shall complete its pre-clearance within one (1) working day from receipt of the complete documentary requirements and payment from the Applicant.

If there are any deficiencies in the submissions or items for clarification, PSE shall notify the Applicant via email. PSE may extend the review/processing period if Applicant fails to respond or comply within the prescribed time.

5. Upon satisfactory completion of the review by PSE, PSE shall issue a Pre-Clearance Certificate indicating the MSLA Reference Number and transmit a copy thereof, together with the pre-cleared documentary requirements, to the BIR and furnish a copy to the SEC. PSE shall also remit the BIR registration fee to the BIR.

For Accession Agreements, submission to the BIR will be done weekly, every Monday immediately following the week when the Accession Agreement and other requirements are submitted (or the immediately succeeding business day, if Monday falls on a regular holiday or a special non-working day). The Applicant must submit the requirements no later than Wednesday, 12 noon, to be included in the latest batch that will be submitted to the BIR.

6. Upon successful registration of the MSLA with the BIR, PSE shall receive the Certificate of Registration/Tax Exemption and release it to the Applicant. Upon successful filing of the Accession Agreement with the BIR, PSE shall receive the new Certificate of Registration/Tax Exemption reflecting the additional borrower/s, release it to the Lending Agent, and furnish a copy to the Borrower/s. The Borrower/s may request for a certified true copy of the Certificate of Registration/Tax Exemption from the BIR for a minimal fee.
7. The Applicant shall provide a copy of the BIR Certificate of Registration/Tax Exemption to the Capital Markets Integrity Corporation within fifteen (15) days from issuance thereof.
8. The SEC may conduct post-audit review of any BIR-registered MSLA, GMSLA or Accession Agreement based on SEC's audit calendar and impose sanctions and penalties against any person or entity found to have violated any provision of SEC Memorandum Circular No. 7, series of 2006, or the SEC Rules on Securities Borrowing and Lending, and any amendment or supplement thereto, pursuant to SEC's regulatory powers and in accordance with SEC's rules and regulations.

All provisions of previous PSE SBL Guidelines for MSLA Clearance inconsistent herewith are hereby amended accordingly.